IPO ANALYSIS REPORT · RHP

Tonbo Imaging India Limited

Mainboard · Defence electronics: electro-optic and thermal imaging systems · filed 2026-10-10 · lead manager(s): JM Financial Limited; IIFL Capital Services Limited · issue size Rs 852 cr · price band: Rs 665-700 · analysed 2026-10-19

CALL

Neutral

CHECKS

0 fail · 5 watch · 5 pass · 2 open

A leading Indian thermal-imaging OEM that owns its technology, priced at 78.8x FY26 earnings against an 85.6x peer median; our Neutral fair value is Rs 515 (-26% vs Rs 700) because FY26 was a down year with cash tied up in orders, and the outcome turns on how quickly the Rs 432 cr of orders convert.

Revenue FY26 **₹363 cr** CAGR FY24-FY26: **-8.0%**	PAT FY26 **₹51 cr** CAGR FY24-FY26: **-13.8%**	EBITDA margin **28.8%** FY24: **26.2%**	Cash conversion (CFO / PAT, 3 yrs) **-63.0%**
Cash tax rate (3 yrs) **23.3%**	P/E at reference (post-issue) **78.8x** peer median: **85.6x**	Blended value (Neutral) **₹515.1** vs reference: **-26.4%**	Reference price **₹700** Upper band Rs 700. At Rs 700: market cap Rs 4,009.75 cr, P/E 78.8x FY26 diluted EPS Rs 8.88, P/B 7.25x, EV/EBITDA 39.1x FY26. Institutions bought from CEAQ at Rs 700 on 29-30 Sep 2026 (pp. 151-152).

Where to focus

! Watch **Cash flow vs profit** pp. 23, 90

Operating cash flow Rs 783.33 m in FY24, then -1,361.19 m (FY25, incl. the final instalments for the IP purchase) and -632.16 m (FY26) as export orders were deferred and stock was built for FY27 orders (pp. 23, 25, 439). Cumulative CFO/PAT FY24-26 -63.0%. A timing item in a lumpy order cycle; track H1 FY27 cash flow.

! Watch **Related-party capex & subsidiaries** pp. 94, 439

Disclosed related-party dealings with CEAQ Singapore (former parent): the one-time IP purchase of Rs 1,831.91 m in FY24, valued by DCF and paid in instalments, which removed future royalties; and material purchases of Rs 789.80 m in FY26 (26.3% of total expenses). Track the share of purchases from CEAQ after listing.

! Watch **Goodwill vs tangible equity** p. 87

No goodwill. Intangible assets Rs 1,627.01 m at 31-Mar-2026 = 29.4% of net worth, mostly the related-party IP purchase; amortisation lifts D&A from Rs 133.95 m (FY24) to Rs 313.35 m (FY26).

! Watch **Customer / supplier / geographic concentration** pp. 23-25, 250-251

Top-10 customers 77.83% of FY26 revenue and 98.17% in Q1 FY27 (top-1 54.74%); Indian Government 71.19% of FY26 revenue; foreign-government revenue fell from Rs 2,676.93 m to Rs 121.14 m. Top-10 suppliers 68.77% of FY26 total expenses with no long-term supply contracts.

! Watch **Contingent liabilities** p. 92

Bank guarantees Rs 789.34 m = 14.7% of 30-Jun-2026 net worth; GST disputes Rs 8.32 m; a customs notice received 23-Jul-2026 is disclosed as a contingent liability without an amount. Materiality threshold Rs 32.03 m (p. 447).

▲ Model guard **Valuation model guard**

AMBER: DCF and relative diverge by -88.5% - the divergence is the finding; name its cause

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

Forensic scorecard

Ten forensic checks and seven regulatory checks.

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	19:1 bonus (30-Jun-2025) and split from Rs 10 to Rs 2 are reflected: diluted EPS 13.63 / 12.70 / 8.88 FY24-26 and NAV Rs 96.57 are on the post-bonus, post-split count of 57,282,100 shares.	pp. 126, 139
2	Cash flow vs profit	! Watch	Operating cash flow Rs 783.33 m in FY24, then -1,361.19 m (FY25, incl. the final instalments for the IP purchase) and -632.16 m (FY26) as export orders were deferred and stock was built for FY27 orders (pp. 23, 25, 439). Cumulative CFO/PAT FY24-26 -63.0%. A timing item in a lumpy order cycle; track H1 FY27 cash flow.	pp. 23, 90
3	Current vs deferred tax	✔ Pass	Current tax (incl. MAT) Rs 615.64 m on cumulative PBT Rs 2,637.74 m FY24-26 = 23.3%; deferred tax is a small share of the charge.	p. 89
4	Related-party capex & subsidiaries	! Watch	Disclosed related-party dealings with CEAQ Singapore (former parent): the one-time IP purchase of Rs 1,831.91 m in FY24, valued by DCF and paid in instalments, which removed future royalties; and material purchases of Rs 789.80 m in FY26 (26.3% of total expenses). Track the share of purchases from CEAQ after listing.	pp. 94, 439
5	Objects arithmetic as price floor	– N.A.	Pure offer for sale; the company receives no proceeds, so there is no objects floor.	p. 134
6	Revaluation reserve	○ Open		
7	Goodwill vs tangible equity	! Watch	No goodwill. Intangible assets Rs 1,627.01 m at 31-Mar-2026 = 29.4% of net worth, mostly the related-party IP purchase; amortisation lifts D&A from Rs 133.95 m (FY24) to Rs 313.35 m (FY26).	p. 87
8	Customer / supplier / geographic concentration	! Watch	Top-10 customers 77.83% of FY26 revenue and 98.17% in Q1 FY27 (top-1 54.74%); Indian Government 71.19% of FY26 revenue; foreign-government revenue fell from Rs 2,676.93 m to Rs 121.14 m. Top-10 suppliers 68.77% of FY26 total expenses with no long-term supply contracts.	pp. 23-25, 250-251
9	Contingent liabilities	! Watch	Bank guarantees Rs 789.34 m = 14.7% of 30-Jun-2026 net worth; GST disputes Rs 8.32 m; a customs notice received 23-Jul-2026 is disclosed as a contingent liability without an amount. Materiality threshold Rs 32.03 m (p. 447).	p. 92
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	✔ Pass	Kalyanasundaram and Associates (FRN 005455S); no auditor change in three years; no qualifications, reservations or emphasis of matter; audit-trail (Rule 11(g)) operated throughout.	pp. 100, 325, 440

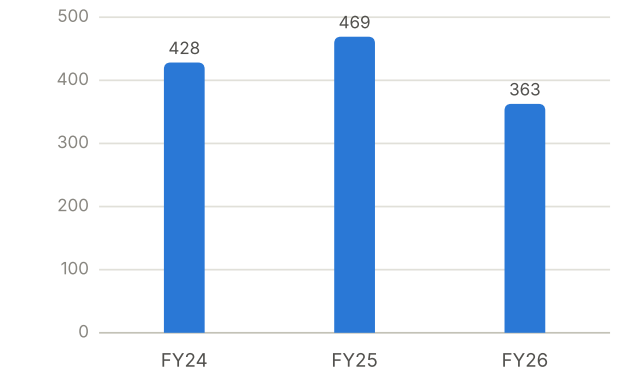
#	CHECK	RESULT	FINDING	PAGE
R2	CARO / audit trail	✔ Pass	Auditor confirms the audit-trail (edit log) feature operated throughout for all relevant transactions and was not tampered with (Rule 11(g)). CARO remarks not reviewed separately.	p. 325
R3	Monitoring agency	– N.A.	Pure offer for sale; no proceeds to the company, so no monitoring agency is required.	p. 134
R4	Eligibility re-computation	○ Open		
R5	SME conditions	– N.A.	Mainboard offer under Reg 6(1).	cover
R6	Lead-manager track record	✔ Pass	Track record of JM Financial and IIFL Capital compiled from the RHP's exchange-sourced tables (see merchant banker section).	pp. 466-468
R7	Firm means of finance	– N.A.	No objects to finance.	p. 134

Financial performance

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

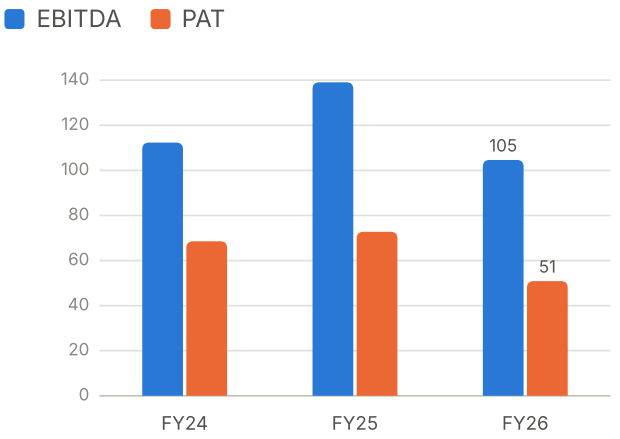
Revenue from operations

Rs crore



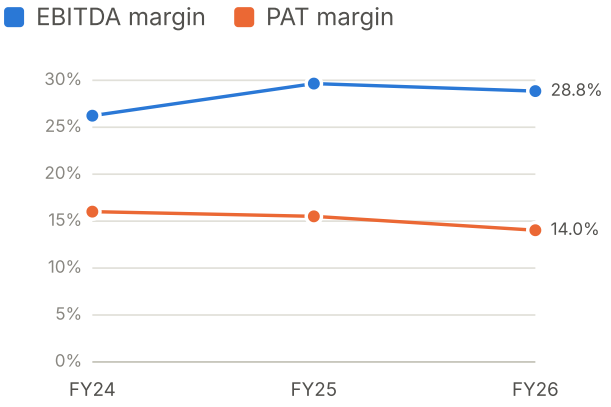
EBITDA and PAT

Rs crore



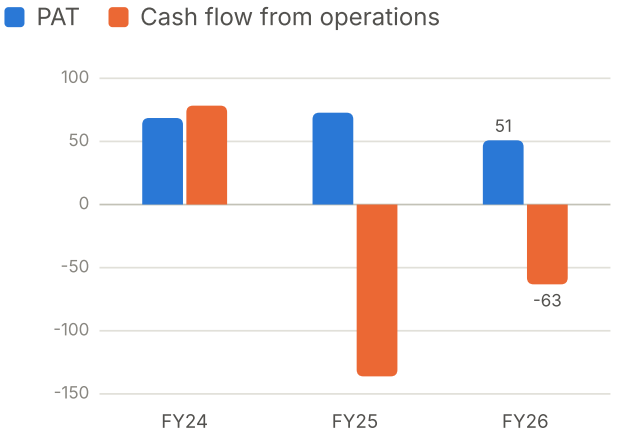
Margins

% of revenue



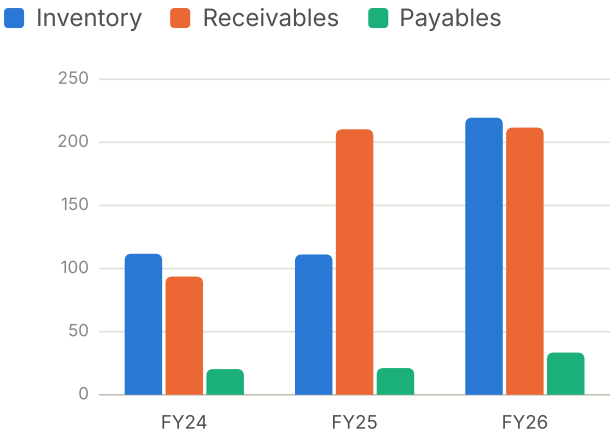
Cash conversion: PAT vs operating cash flow

Rs crore. Profit that does not become cash shows as the gap.



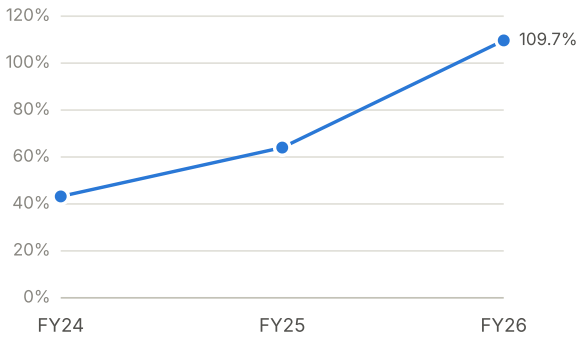
Working capital build-up

Rs crore, year end



Net working capital

% of revenue

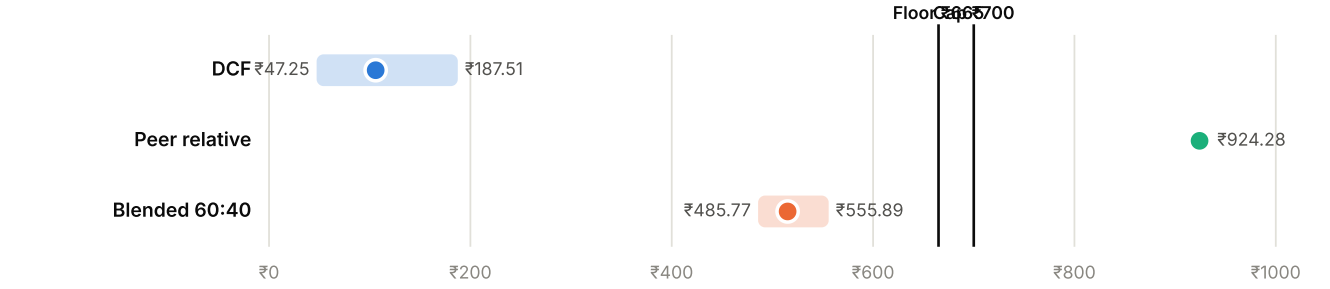


Valuation

DCF and peer-relative values shown separately, then blended 60:40. Reference: Upper band Rs 700. At Rs 700: market cap Rs 4,009.75 cr, P/E 78.8x FY26 diluted EPS Rs 8.88, P/B 7.25x, EV/EBITDA 39.1x FY26. Institutions bought from CEAQ at Rs 700 on 29-30 Sep 2026 (pp. 151-152).

Valuation range per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical line is the reference price.



Scenario summary

RS/SHARE	DCF	RELATIVE	BLENDED	VS REFERENCE
Bear	₹47.25	₹924.28	**₹485.77**	-30.6%
Neutral	₹105.92	₹924.28	**₹515.1**	-26.4%
Bull	₹187.51	₹924.28	**₹555.89**	-20.6%

WACC **14.2%**

Terminal value share of EV **69.5%**

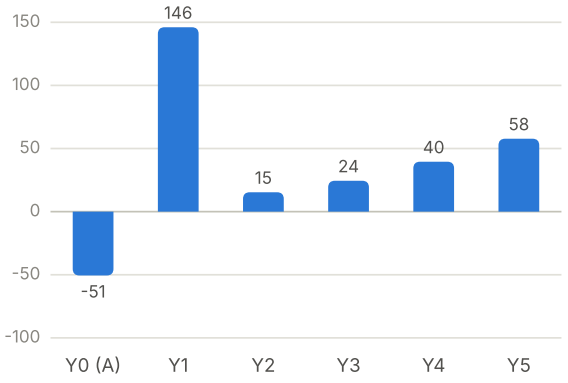
Reverse DCF: what the reference price needs

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	14.2%
required EBIT margin (steady state)	195.2%	20.2%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	109.7%

Current free cash flow is negative, so no multiple can be stated: the price assumes cash generation improves from here.

DCF projection (Neutral): free cash flow to firm

Rs crore; Y0 is the latest audited year



Sensitivity: WACC vs terminal growth

Value per share (Rs). Blue above, red below the reference.

WACC	Terminal growth 3.5%	4.0%	4.5%	5.0%	5.5%
12.2%	₹133.09	₹135.61	₹138.42	₹141.56	₹145.12
13.2%	₹116.97	₹118.55	₹120.26	₹122.14	₹124.22
14.2%	₹103.95	₹104.9	₹105.92	₹107.01	₹108.19
15.2%	₹93.22	₹93.76	₹94.32	₹94.9	₹95.5
16.2%	₹84.25	₹84.5	₹84.75	₹85	₹85.24

Below reference — Above reference

Sensitivity: working capital vs EBITDA margin

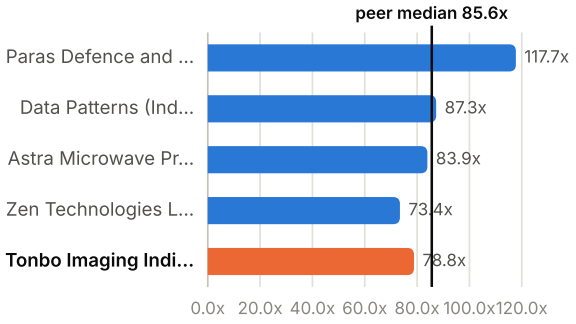
Value per share (Rs). The lever that moves value most deserves the most diligence.

NWC % rev	EBITDA margin 26.0%	27.0%	28.0%	29.0%	30.0%
64%	₹98.49	₹105.53	₹112.56	₹119.59	₹126.62
67%	₹95.17	₹102.21	₹109.24	₹116.27	₹123.3
70%	₹91.85	₹98.88	₹105.92	₹112.95	₹119.98
73%	₹88.53	₹95.56	₹102.6	₹109.63	₹116.66
76%	₹85.21	₹92.24	₹99.28	₹106.31	₹113.34

Below reference — Above reference

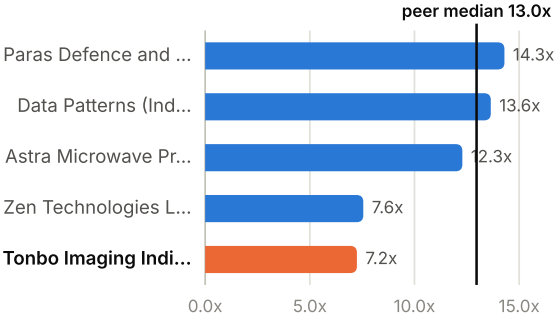
Peer P/E

Issuer at reference price (orange) vs listed peers named in the offer document



Peer P/B

Issuer on post-issue net worth

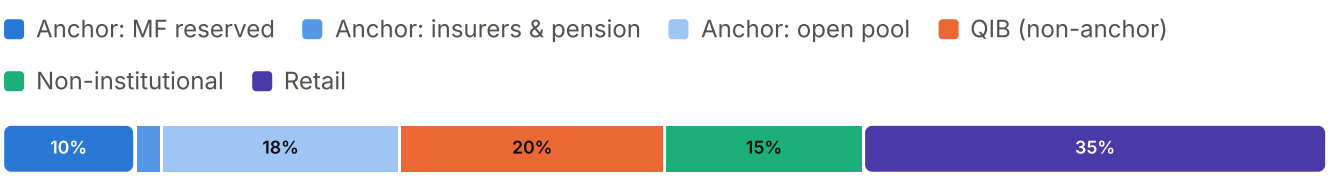


Offer structure and supply

How the issue is split, where an AIF can bid as anchor, and shares that unlock after listing.

Issue split by investor category (Rs 851 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	18.24	30
Anchor - tranche 2	18.24	90
Pre-issue non-promoter shareholders (excl. AIFs Yali and Tenacity, and the ESOP trust)	287.07	180
Promoters' contribution incl. CEAQ Singapore shortfall shares (20% of post-issue capital)	114.56	540

Anchor tranches (30 / 90 days) and promoter lock-ins are dated once the RHP fixes the allotment date.

Merchant bankers

Lead managers' recent issues: listing-day open vs issue price (offer-document data) and post-listing moves.

JM Financial Limited

Listed: Yes (NSE: JMFINANCIL)
Owner: Promoted by the Kampani family: J M Financial & Investment Consultancy Services Pvt Ltd 24.77%, Nimesh Kampani 13.11%, J M Assets Management Pvt Ltd 11.36%, Aruna Kampani 2.82%, SNK Investments 1.95%, Vishal Kampani 1.36%; promoter group about 57% (June 2026)

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	19	54,666
FY2025-26	27	67,532
FY2024-25	13	25,543

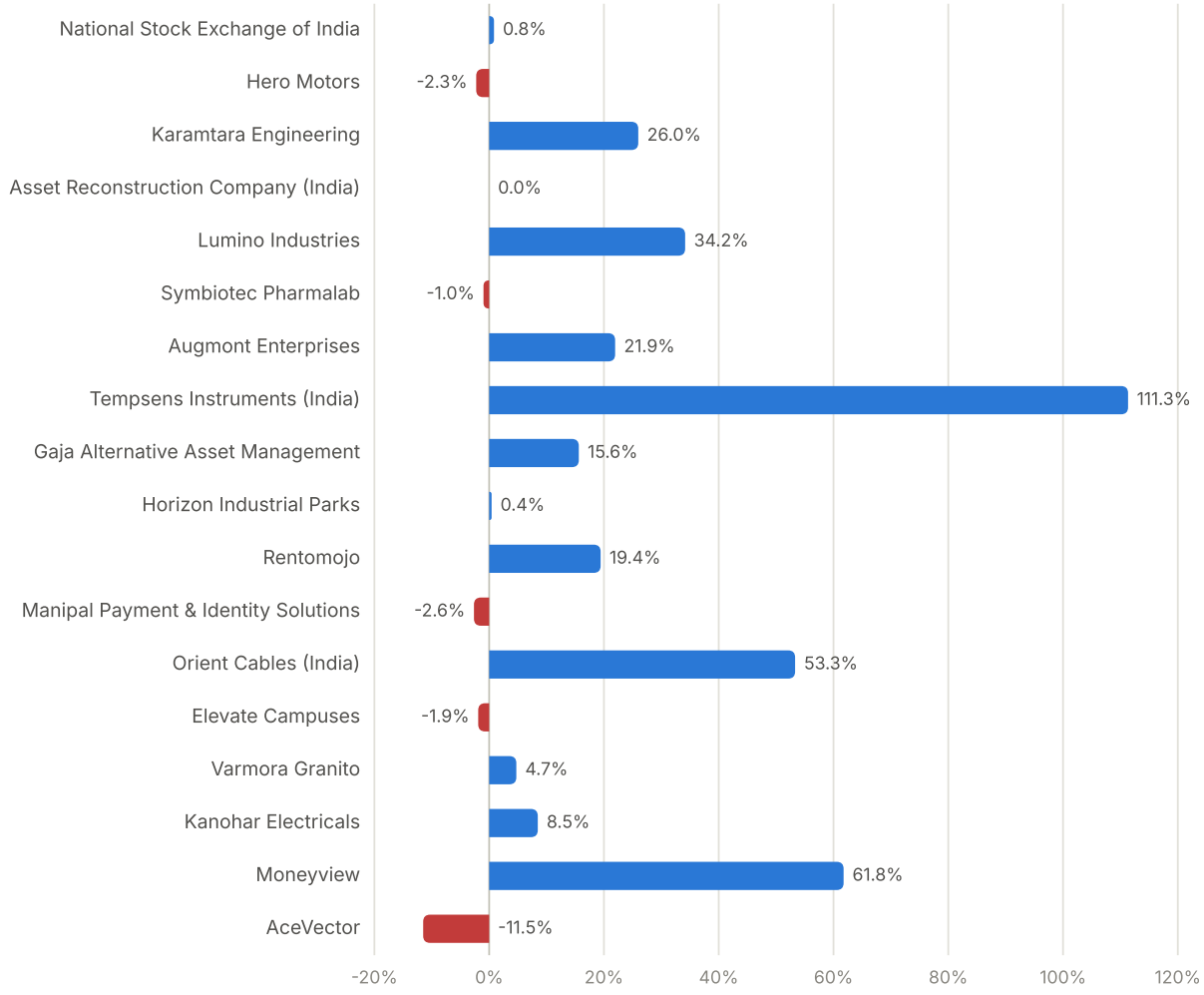
IIFL Capital Services Limited

Listed: Yes (formerly IIFL Securities Limited) - listing status per secondary sources, unverified
Owner: Promoter group led by the IIFL founders; shareholding percentages not sourced in this run

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2024-25	16	48,174
FY2025-26	29	71,009
FY2026-27	19	42,072

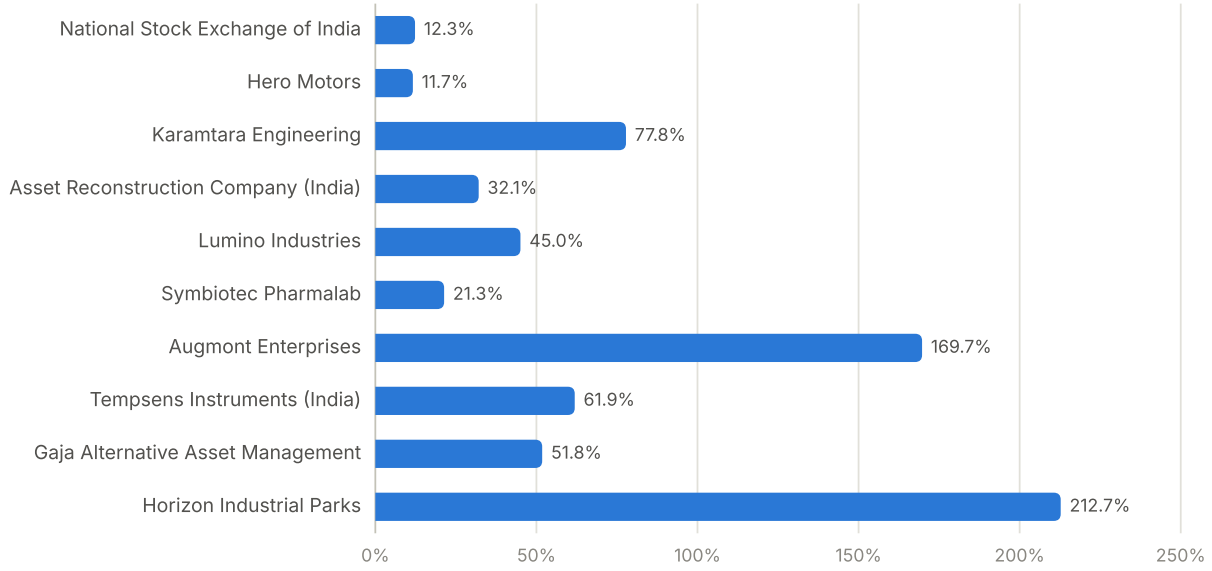
Listing-day open vs issue price

Recent issues handled by this offer's lead managers



Issuers' revenue growth, FY24 → FY26

Secondary-source financials, unverified (see note)



SWOT

Each point carries its figure and page reference in the note.

STRENGTHS

- 100% ownership of IP since Mar-2024 across optics, IR engines and video processing (pp. 138, 246)
- Largest supplier of thermal imaging systems to Indian government agencies Apr-24 to Mar-26; 94% of Indian thermal-imaging exports by units FY24-26 (issuer-paid F&S report, p. 246)
- 28,000+ systems deployed in 24 countries; ITAR-free portfolio (p. 246)
- Gross margin 48.6% / 56.4% / 51.1% FY24-26 (p. 144)
- Cash tax 23.3% of cumulative FY24-26 PBT; no auditor qualifications or auditor change (pp. 89, 100, 440)

WEAKNESSES

- FY26 revenue Rs 362.65 cr, down 22.69%, as export orders slipped; Q1 FY27 is seasonally small (Rs 36.01 cr) (pp. 23, 89)
- Working capital 109.7% of FY26 revenue; cumulative CFO -Rs 121.00 cr FY24-26 (pp. 87, 90)
- Top-10 customers 77.83% of FY26 revenue, typical of defence tendering (p. 24)
- Materials from related party CEAQ Singapore 26.3% of FY26 expenses (p. 94)
- Inventory Rs 319.63 cr at Jun-26 built ahead of FY27 deliveries (pp. 25, 87)

OPPORTUNITIES

- India EO/IR market $522 m (CY2020) to $1.4 bn (CY2030), 10.5% CAGR - issuer-paid F&S report (p. 205)
- Orders of Rs 118.15 cr received Jul-Sep 2026, incl. a Rs 51.44 cr export order deferred from FY26 (pp. 23, 250)
- Platform systems grew from Rs 12.70 cr (FY24) to Rs 144.81 cr (FY26) (p. 248)
- IDDM eligibility under DAP 2020 favours indigenous OEMs (p. 247)

THREATS

- Tender-based, non-recurring contracts; bid-win ratio 14.29% in Q1 FY27 vs 40.91% in FY24 (p. 23)
- Export orders exposed to conflicts and export approvals: foreign-government revenue Rs 267.69 cr → Rs 12.11 cr FY25-26 (p. 251)
- Singapore High Court suit by a CEAQ Singapore minority shareholder naming the company, MD and a nominee director (p. 448)
- Lock-in expiries: 287 lakh pre-issue shares (50% of capital) free after six months (p. 121)

Due-diligence note

Tonbo Imaging India Limited: RHP decision note (opening-day report)

> **Basis.** Red Herring Prospectus dated 10-Oct-2026, a 100% book-built **offer for sale** of up to 1,21,74,046 equity shares of Rs 2 (including 14,000 for employees, Rs 65 discount), with JM Financial and IIFL Capital Services as BRLMs. Price band **Rs 665-700**; lot 21 shares (Rs 14,700 at the upper band). Anchor bidding 14-Oct-2026; bid/offer **15-Oct to 19-Oct-2026**; allotment on or about 21-Oct; listing on NSE and BSE on or about **23-Oct-2026** (p. 473; NSE issue page). Restated consolidated financials run to **30-Jun-2026** and are **111 days old** at the date of this note. FY24 is standalone because the subsidiaries were formed in FY25 (p. 245). All business figures are from the RHP; printed page numbers are cited (printed page = PDF page - 5). Subscription and anchor size are from NSE; anchor investor names are from press reports and are **unverified**.
>
> Judged at the **upper band, Rs 700**, which is also the price at which institutions bought from CEAQ India and CEAQ Singapore on 29-30 Sep 2026 (pp. 151-152). Holding period assumed: 2-3 years. Grey market premium is not used. Written from an investor's point of view, under the Fund's standing rules: normal features of the business are reported as points to monitor, not as deductions from value. **This note is published after the book closed**; it records the Fund's view for the listing and the hold.

Verdict: Neutral at Rs 700.

The investment case. Tonbo is an Indian defence-electronics OEM that owns its technology and leads its niche.

- It owns 100% of its IP since March 2024 across optics, infrared engines and video electronics, and has 130 R&D engineers (pp. 138, 251).
- Per the issuer-paid Frost & Sullivan report it was the largest manufacturer of thermal imaging systems for Indian government and defence agencies over Apr-2024 to Mar-2026, and shipped 94% of Indian thermal-imaging exports by units FY24-26 (p. 246). Its products are ITAR-free and deployed in 24 countries.
- Profitability is steady through a weak year: EBITDA margin 26.2% / 29.7% / 28.9% FY24-26, with profit taxed in cash (current tax 23.3% of PBT) (pp. 89, 144).
- Orders in hand of about Rs 432 cr (Rs 314.24 cr at 30-Jun-2026 plus Rs 118.15 cr won in July-September) cover about 1.2 years of FY26 revenue (p. 250).

What holds the value back at this price.

- FY26 was a down year: revenue fell 22.7% to Rs 362.65 cr as export orders slipped into FY27, and cash went into stock built for those orders, so operating cash flow was negative (pp. 23, 25, 90).
- At Rs 700 the P/E is 78.8x FY26 earnings, close to the 85.6x peer median, while peers grew revenue about 21% in the same year. The price already assumes the recovery.

Valuation. Fair value Rs 486 / **Rs 515** / Rs 556 (Bear / Neutral / Bull), -26.4% against Rs 700 in the Neutral case. Peers' multiples alone give Rs 924; a cash-flow DCF gives Rs 106, because the DCF is still carrying FY26's working capital. **Call rule:** the Neutral value is between -10% and -30% of the price, so the call is **Neutral**. No material issue was found.

What would move it to Subscribe: H1 FY27 revenue of Rs 180 cr or more with positive operating cash flow, which would show the order book converting; or a market price nearer Rs 515-560.

Snapshot

Rs crore	FY24 (standalone)	FY25	FY26	Q1 FY27 (3 months)
Revenue from operations	428.19	469.08	362.65	36.01
Growth	342.2%	9.55%	-22.69%	n.m.
Gross margin	48.64%	56.38%	51.05%	37.71%
EBITDA (issuer KPI, excl. other income)	112.32	139.06	104.62	-13.04
EBITDA margin	26.23%	29.65%	28.85%	-36.21%
PAT	68.54	72.76	50.88	-17.74
Cash flow from operations	78.33	-136.12	-63.22	-14.68
Inventory	111.69	111.14	219.49	319.63
Trade receivables	93.64	210.31	211.66	96.85
Borrowings	96.36	78.14	116.06	129.72
Net worth	230.13	490.14	553.16	538.54
ROE (issuer)	52.72%	20.20%	9.75%	-3.25% (not annualised)
ROCE (issuer, excl. intangibles)	67.76%	27.41%	14.54%	-4.31%

Q1 is seasonally the smallest quarter: revenue recognition is concentrated in the second half (p. 144).

At the upper band (shares unchanged at 5,72,82,100): market cap Rs 4,009.75 cr; P/E 78.8x FY26 diluted EPS (Rs 8.88), 76.2x basic (Rs 9.19); P/B 7.25x (NAV Rs 96.57); EV Rs 4,087.18 cr using FY26 net debt of Rs 77.43 cr; EV/EBITDA 39.1x FY26. On the FY24-26 average PAT of Rs 64.06 cr, the P/E is 62.6x. Sources: pp. 87-90, 139-141, 144; price ratios are our computation.

Business model

- **What it sells:** electro-optic and infrared systems for defence and security: thermal weapon sights, hand-held thermal binoculars, imaging cores, targeting and fire-control systems, missile seekers and stabilised gimbal payloads (p. 246). Tactical systems (soldier-carried sights) were 58.37% of FY26 revenue (Rs 211.68 cr); platform systems (payloads for remote weapon stations, vehicles, loitering munitions, balloons) were 39.93% (Rs 144.81 cr), up from Rs 12.70 cr in FY24 (p. 248). Directed-energy systems are in development.
- **Who buys it:** in FY26 the Indian Government was 71.19% of revenue, private system integrators 24.10% and foreign governments 3.34%; in FY25 foreign governments were 57.07% (pp. 250-251). Customer

names are withheld for confidentiality, as is usual in defence (p. 24).

- **How it earns:** competitive tenders with pricing fixed in advance (p. 23). Bid-win ratio 35.27% across FY24 to Q1 FY27 (97 of 275 bids) (p. 23).
- **What it owns vs outsources:** asset-light. It owns the IP and an R&D centre in Bengaluru (339 employees, 130 engineers), builds prototypes in-house and outsources volume manufacturing to EMS partners including Kaynes Technology and Avalon Technology (pp. 54, 251). Key inputs include imported infrared detectors (p. 25).
- **Selling abroad:** knocked-down kits, cores and white-labelling, so that partners' products qualify as locally made in the buyer's country (p. 232).

Stage of the business

Classification: early growth, tender-driven and lumpy.

Evidence	Reading
Revenue Rs 96.83 cr (FY23, implied) to Rs 428.19 cr in FY24, then Rs 469.08 cr and Rs 362.65 cr	Growth comes in steps as large contracts are won and delivered
EBITDA margin 26-30% in each full year	Product-level pricing power is intact
Capex Rs 39.35 cr vs D&A Rs 31.34 cr in FY26	Light physical capital needs; most D&A is amortisation of the purchased IP
Working capital 43% / 64% / 110% of revenue FY24-26	Cash is tied up while orders are executed, as is common in defence electronics (Data Patterns reports 365-432 working-capital days, p. 147)
Largest Indian supplier of thermal imaging to government (issuer-paid report)	A strong position in a small, growing niche

What the stage means: earnings and orders are the better guide to value than one year's cash flow, which swings with delivery timing. The valuation therefore uses three-year average margins and working capital in the Neutral case and blends the DCF equally with peer multiples.

Industry analysis

Source: "Assessment of Global and Indian Defence Electronics and Technology Industry" by Frost & Sullivan (India), **commissioned and paid for by the issuer** for this offer (p. 245).

- **Market size:** global military expenditure USD 3,362.2 bn in CY2025, projected at USD 4,410.9 bn by CY2030 (5.6% CAGR); Europe grows fastest at 7.5% (p. 161 onwards). India's EO/IR market is put at USD 522 m in CY2020 rising to USD 1.4 bn by CY2030, a 10.5% CAGR (p. 205).
- **Structure:** Indian EO/IR is led by Bharat Electronics, with Alpha Design, Paras Defence, HAL and L&T active in parts of the stack (pp. 237-240). Globally Tonbo competes with US, European and Israeli primes, whose products are often export-restricted under ITAR; Tonbo's are not (p. 246).
- **Regulation:** DAP 2020 favours "Indigenously Designed, Developed and Manufactured" (IDDM) vendors; Tonbo qualifies (p. 247).
- **Cycle:** procurement is episodic; emergency buying lifts demand in bursts (p. 21). The RHP links FY26 to export delays from the West Asia conflict and orders moving into FY27 (p. 22).

- **Peer growth in FY26:** Paras Defence +30.69%, Data Patterns +30.55%, Astra Microwave +10.62%, Zen Technologies -29.37%, BEL +16.16% (p. 146).

Future prospects

- **Contracted:** Rs 314.24 cr order book at 30-Jun-2026 (domestic Rs 231.87 cr, overseas Rs 82.37 cr; platform Rs 198.35 cr, tactical Rs 115.43 cr), plus Rs 118.15 cr received in July-September 2026 (p. 250). Together about Rs 432.39 cr, 1.19x FY26 revenue. This includes a Rs 51.44 cr export order deferred from FY26 (p. 23).
- **Capacity:** manufacturing is outsourced, so growth needs order wins and components rather than new plant.
- **New products:** platform systems and missile seekers are the growth line (Rs 12.70 cr in FY24 to Rs 144.81 cr in FY26); directed-energy systems are in development (p. 248). Five US patents granted and four applications pending (p. 232).
- **Management's view:** the RHP attributes FY26 to timing rather than loss of customers and expects the deferred export order to be delivered in FY27 (p. 23). No revenue guidance is given.
- **Three-year path (our scenarios, revenue Rs crore):**

	FY27	FY28	FY29	Driver
Bear	398.9	430.8	461.0	Slow conversion of orders
Neutral	453.3	544.0	641.9	FY27 back near the FY25 level, then steady order inflow
Bull	507.7	660.0	825.0	Full conversion of the book plus export recovery

What has to go right: delivery of the Rs 432 cr of orders on time and collection of the stock built in Q1. **What is already contracted:** about one year of FY26-level revenue.

Peer comparison (P2P)

Peers are those in the RHP's "Basis for Offer Price"; prices are BSE closes on 07-Oct-2026 and figures are FY26 (pp. 141, 146-147). EV/EBITDA for peers is not computed because the document gives no share counts or net debt.

Company	CMP (Rs)	Revenue FY26 (Rs cr)	Rev. growth FY26	EBITDA margin	PAT margin	ROE	P/E	P/B
Paras Defence and Space Technologies	1,286.95	476.57	30.69%	26.00%	18.16%	NA	117.7x	14.3x
Data Patterns (India) (standalone)	4,231.00	924.77	30.55%	40.12%	28.48%	17.00%	87.3x	13.6x
Astra Microwave Products	1,701.15	1,162.80	10.62%	28.70%	16.60%	NA	83.9x	12.3x

Company	CMP (Rs)	Revenue FY26 (Rs cr)	Rev. growth FY26	EBITDA margin	PAT margin	ROE	P/E	P/B
Zen Technologies	1,580.35	687.69	-29.37%	48.37%	28.19%	NA	73.4x	7.6x
Bharat Electronics (excluded on scale)	378.85	27,610.11	16.16%	NA	21.52%	NA	45.7x	11.5x
Tonbo Imaging at Rs 700	700	362.65	-22.69%	28.85%	13.75%	9.75%	**78.8x**	**7.2x**
Peer median (four included)			20.6%	34.4%	23.2%		85.6x	13.0x

Read: Tonbo is priced 8% below the peer median on P/E and at about half the peer P/B. Its EBITDA margin (28.85%) is in the peer range, and its FY25 ROE (20.20%) was above Data Patterns' FY26 level. FY26 growth and PAT margin trail the peers because of the export deferral. If FY27 revenue returns near the FY25 level, the P/E on that year falls well below the peer median. The market will judge it against peers on that recovery.

Financials and key findings

Positives	Points to monitor
Gross margin 51.05% and EBITDA margin 28.85% in FY26 despite lower revenue (p. 144)	FY26 revenue -22.69% as export orders moved into FY27 (pp. 23, 144)
Current tax 23.3% of cumulative PBT (p. 89)	Working capital rose to 109.7% of FY26 revenue; operating cash flow negative in FY25-26 (pp. 87, 90)
Clean audit reports, no auditor change, audit trail confirmed (pp. 100, 325, 440)	Stock built to Rs 319.63 cr at Jun-26 for FY27 orders (pp. 25, 87)
Rs 118.15 cr of orders won in July-September 2026 (p. 250)	Borrowings Rs 167.23 cr at Aug-26 to fund working capital (p. 445)
No criminal or regulatory proceedings against the company (p. 448)	Intangibles Rs 162.70 cr (29.4% of net worth), the purchased IP (p. 87)
Independent chair; institutional nominee directors (p. 300)	Promoters hold 14.56% with the promoter group after the offer (p. 124)

Working capital in context. Trade working capital was Rs 184.98 cr, Rs 300.31 cr and Rs 397.71 cr FY24-26. Revenue fell Rs 106.43 cr in FY26 while working capital rose Rs 97.39 cr, which is what a deferred delivery looks like: the stock is bought and the sale moves to the next year. The FY25 operating cash outflow also includes the final instalments of the IP purchase, which sat in other current liabilities (p. 439).

Valuation

Inputs (FY26, Rs crore): revenue 362.65; EBITDA 104.62; D&A 31.34; PAT 50.88; net worth 553.16; net debt 77.43; trade working capital 397.71 (FY25 300.31); capex 39.35. No fresh issue: shares unchanged at 5.72821 crore.

Cost of capital (house CAPM build, editable): risk-free 6.5%, beta 1.10, equity risk premium 7.0%, size premium 2.0%, no company-specific premium. Cost of equity 16.2%; pre-tax cost of debt 8.5% (RHP range 7.50-8.80%,

p. 445); debt weight 20%; **WACC 14.23%**. Terminal growth 4.50%.

Five-year free cash flow (Neutral, Rs crore):

	FY26 actual	Y1	Y2	Y3	Y4	Y5
Revenue growth	-22.7%	25%	20%	18%	15%	12%
Revenue	362.65	453.31	543.97	641.89	738.17	826.75
EBITDA (28%, three-year average)	104.62	126.93	152.31	179.73	206.69	231.49
NOPAT	54.84	65.67	78.80	92.99	106.94	119.77
Working capital (70% of revenue, three-year average)	397.70	317.32	380.78	449.32	516.72	578.73
Free cash flow to firm	-50.57	146.06	15.34	24.45	39.54	57.76

Terminal value is 69.5% of enterprise value; terminal ROIC 16% (Neutral), above the 14.23% WACC.

Rs per share	Bear	Neutral	Bull
DCF	47.25	105.92	187.51
Relative (peer-median P/E and P/B, no discount)	924.28	924.28	924.28
Fair value (50:50 blend)	**485.77**	**515.10**	**555.89**
Against Rs 700 (upper band)	-30.6%	-26.4%	-20.6%
Against Rs 665 (floor)	-27.0%	-22.5%	-16.4%

- **Scenario drivers:** year-1 growth 10% / 25% / 40%, easing to 5% / 12% / 15% by year 5; EBITDA margin 24% / 28% / 30%; working capital 90% / 70% / 50% of revenue; terminal ROIC 12% / 16% / 22%. Rationale and page cites are in the valuation workbook.
- **Why the two methods differ:** peer multiples price Tonbo's earnings the way the market prices listed defence electronics companies (Rs 924). The DCF prices free cash flow, which in this business arrives late because working capital is high while orders are executed (Rs 106). Both are shown; the blend gives them equal weight.
- **Sensitivity (Neutral DCF, Rs per share):** WACC 12.2% to 16.2% moves it from Rs 138 to Rs 85; working capital at 64% of revenue with a 30% margin gives Rs 127, and 76% with a 26% margin gives Rs 85. Working-capital intensity is the main lever.
- **Reverse DCF at Rs 700:** FY26 free cash flow was negative (-Rs 50.57 cr), so no cash-flow multiple can be stated; the price assumes cash generation improves from here. Holding today's working-capital level, the price would need a steady-state EBIT margin of about 195% against 20.2% actual, which is not a realistic path. The realistic path is working capital falling back towards FY24-25 levels as orders are delivered. In plain words: **the price assumes the business returns to its FY24-25 pattern of growth and cash conversion.**

Management and governance

- **Promoters:** Arvind Kondangi Lakshmikumar (MD & CEO, with the company since 2005, M.E. BITS Pilani), Ankit Kumar (Executive Director, Chief Business and Revenue Officer, B.Tech IIIT Hyderabad) and Cecilia D'Souza (Executive Director, Chief Commercial Officer, chartered accountant). All three have run the business since the 2012 buy-out from its research parent (pp. 247, 303). Combined holding 17.43% pre-offer, 14.01% after selling 19.60 lakh shares (pp. 124-126).
- **Board:** nine directors: three executive, three nominee (CEAQ Singapore, HBL Engineering, Florintree) and three independent, with an independent chairperson, Sonal Shrivastava, a former group CFO of Vedanta (pp. 300-302). The independent directors joined on 29-Sep-2025 (p. 307).
- **Overlap to note:** nominee director Mathew Cyriac (Florintree) is also on the boards of Data Patterns (India), a listed peer, and ideaForge Technology (pp. 301-302).
- **Pay:** FY26 executive pay Rs 5.21 cr in all, 10.2% of FY26 PAT (Ankit Kumar Rs 2.81 cr, Cecilia D'Souza Rs 1.39 cr, Arvind Lakshmikumar Rs 1.00 cr). Terms from Dec-2025: MD Rs 3.08 cr fixed; Ankit Kumar Rs 1.54 cr fixed plus up to Rs 1.50 cr bonus; Cecilia D'Souza Rs 1.54 cr (pp. 304-305).
- **Team:** CFO T. S. Sivashankar (since Oct-2023; IIT Madras, IIM Lucknow, ex-Citibank and Arpwood) holds 1.05%. Employee attrition 7.71% in FY26; no KMP or senior-management attrition (pp. 51, 315).
- **Shareholders and the offer:** CEAQ Singapore 25.47% and CEAQ India 8.73% (both formerly Tonbo Imaging entities), HBL Engineering 14.25%, Florintree 5.17%, Amansa 4.25% (p. 127). CEAQ India sells its full holding and CEAQ Singapore part of its holding; promoters sell 19.60 lakh shares; HBL Engineering does not sell (cover). CEAQ Singapore makes up the 20% minimum promoter contribution, locked for 18 months (pp. 119-120). Institutional buyers including SBI Mutual Fund, HDFC Life, 360 ONE and Amansa bought at Rs 700 in September (pp. 151-152).
- **Related parties:** the IP was bought from CEAQ Singapore for Rs 183.19 cr in FY24 on a DCF valuation, which ended royalty payments; CEAQ Singapore also supplies materials (Rs 78.98 cr in FY26). Both are disclosed in full (pp. 94-95, 439).
- **Litigation:** no criminal or regulatory proceedings against the company. A minority shareholder of CEAQ Singapore has filed a suit in the Singapore High Court over the 2024 preference-share issue, naming the company, the MD and a nominee director; papers not yet served (pp. 448-451). Small GST disputes (Rs 0.83 cr) and a customs notice of 23-Jul-2026 (p. 92).
- **Auditor:** Kalyanasundaram and Associates; no change in three years; no qualifications or emphasis of matter; audit trail confirmed (pp. 100, 325, 440).

Governance read. The board is well constituted for a newly listed company: an independent chair with large-company CFO experience, three institutional nominees and clean audit reports. Points to monitor are the related-party purchases from the former parent and the board overlap with a listed peer.

SWOT

Strengths	Weaknesses
100% ownership of IP across optics, IR engines and video processing (pp. 138, 246)	FY26 revenue -22.69% as export orders slipped; Q1 FY27 seasonally small (pp. 23, 89)
Largest supplier of thermal imaging to Indian government agencies; 94% of Indian thermal-imaging exports by units (issuer-paid report, p. 246)	Working capital 109.7% of FY26 revenue; cumulative CFO -Rs 121.00 cr FY24-26 (pp. 87, 90)

Strengths	Weaknesses
28,000+ systems in 24 countries; ITAR-free (p. 246)	Top-10 customers 77.83% of FY26 revenue, typical of defence tendering (p. 24)
Gross margin 48.6% / 56.4% / 51.1% FY24-26 (p. 144)	Materials from related party CEAQ Singapore 26.3% of FY26 expenses (p. 94)
Cash tax 23.3% of PBT; clean audit reports (pp. 89, 440)	Inventory Rs 319.63 cr built ahead of FY27 deliveries (pp. 25, 87)

Opportunities	Threats
India EO/IR market USD 522 m to USD 1.4 bn, CY2020-30, 10.5% CAGR (issuer-paid report, p. 205)	Tender-based contracts; fewer wins in Q1 FY27 (2 of 14 bids) (p. 23)
Rs 118.15 cr of orders won Jul-Sep 2026, incl. a Rs 51.44 cr deferred export order (pp. 23, 250)	Export approvals and conflicts can delay orders, as in FY26 (p. 251)
Platform systems Rs 12.70 cr to Rs 144.81 cr FY24-26 (p. 248)	Singapore suit involving the former parent (p. 448)
IDDM preference under DAP 2020 (p. 247)	Pre-issue shares leaving lock-in after six months (p. 121)

Moat

- **Technology and know-how:** owned IP in thermal cores, image processing and stabilisation, 130 R&D engineers and US patents (pp. 232, 251). The issuer's own benchmark puts its Spartan-S weapon sight at 280 g against about 800-900 g for two Indian alternatives (p. 232).
- **Qualification and track record:** field-proven systems with the Indian Army, NATO buyers and others; new entrants take years to qualify (p. 231).
- **Export freedom:** ITAR-free products can be sold where US-origin systems cannot (p. 246).
- **Policy preference:** IDDM status favours indigenous OEMs (p. 247), shared with other Indian makers.
- **Durability:** the moat is technical and in a specialised niche. Tenders are re-competed, so it is sustained by continued R&D rather than by contracts.

The offer, objects and anchor book

- **Structure:** offer for sale only, Rs 852.18 cr at the upper band; the company receives no proceeds (pp. 84, 134). QIBs up to 50% of the net offer, NIIs at least 15%, retail at least 35% (p. 84). Sellers: CEAQ India 49.98 lakh shares, CEAQ Singapore 41.55 lakh, promoters 19.60 lakh, Vinimaya (promoter group) 3.40 lakh, other investors 5.71 lakh (cover).
- **Anchor book:** 36.48 lakh shares at Rs 700 = **Rs 255.36 cr**, derived from NSE data. Press reports (unverified) state 43 anchor investors, with 12 domestic mutual fund schemes taking 21.05 lakh shares (57.7%) and life insurers about 7.8%; foreign names reported include Goldman Sachs and BlackRock. Lock-in: half for 30 days, half for 90 days.
- **Subscription at close (NSE, 19-Oct-2026 17:57 IST):** QIB 293.56x, NII 170.94x, retail 31.07x, employees 54.31x; total 135.90x.
- **Supply calendar (our computation from pp. 119-121):** at listing about 85.26 lakh shares with the public plus about 49.45 lakh pre-issue shares not under lock-in; anchor 18.24 lakh at day 30 and 18.24 lakh at day 90; about 287.07 lakh pre-issue shares at six months; the 114.56 lakh promoter contribution at 18 months.

Points to monitor

Item	Now	Why it matters to an investor
Order conversion	Rs 432 cr of orders vs FY26 revenue Rs 362.65 cr (p. 250)	Sets FY27 revenue and the P/E on it
Working capital and cash flow	109.7% of revenue; CFO negative in FY25-26 (pp. 87, 90)	The DCF value rises sharply as this normalises
Customer concentration	Top-10 77.83% of FY26 revenue (p. 24)	Normal for defence; a lost tender moves revenue
Related-party purchases	CEAQ Singapore 26.3% of FY26 expenses (p. 94)	Pricing and continuity of supply
Lock-in releases	About 287 lakh shares at six months (p. 121)	Supply in the share price, not in the business
Singapore suit	Not yet served (p. 448)	Low financial exposure on present facts

Merchant banker(s)

JM Financial Limited (listed; promoted by the Kampani family, promoter group about 57% per secondary sources, unverified) and **IIFL Capital Services Limited** (formerly IIFL Securities; listed; promoter group led by the IIFL founders per secondary sources, holding not sourced). Year-wise summaries from the RHP (pp. 466-468):

BRLM	Year	IPOs	Raised (Rs cr)	Day-30: discount / premium	Day-180: discount / premium
JM Financial	FY25	13	25,543.41	5 / 8	5 / 7
JM Financial	FY26	27	67,532.42	12 / 15	12 / 15
JM Financial	FY27 to date	19	54,665.97	5 / 8	n.a.
IIFL Capital	FY25	16	48,173.72	1 / 15	2 / 14
IIFL Capital	FY26	29	71,009.10	11 / 18	12 / 16
IIFL Capital	FY27 to date	19	42,072.12	4 / 4	0 / 1

Most recent issues (as printed; listing gain is our computation on the designated exchange's opening price):

Issue	BRLM	Listed	Size (Rs cr)	Issue price	Opening	Listing gain	Day 30
Orient Cables (India)	JM, IIFL	05-Oct-2026	552.00	272	417 (JM table) / 450 (IIFL table)	+53.3% / +65.4%	n.a.
AceVector	IIFL	05-Oct-2026	420.00	32	28.32	-11.5%	n.a.
Moneyview	IIFL	01-Oct-2026	1,091.68	34	55.00	+61.8%	n.a.
Elevate Campuses	JM, IIFL	30-Sep-2026	2,100.00	362	355.10	-1.9%	n.a.
Varmora Granito	JM	29-Sep-2026	708.02	148	155.00	+4.7%	n.a.
National Stock Exchange of India	JM, IIFL	24-Sep-2026	22,561.57	1,785	1,800.00	+0.8%	n.a.
Hero Motors	JM	23-Sep-2026	1,000.00	84	82.10	-2.3%	n.a.

Issue	BRLM	Listed	Size (Rs cr)	Issue price	Opening	Listing gain	Day 30
Karamtara Engineering	JM, IIFL	17-Sep-2026	875.00	254	320.00	+26.0%	n.a.
Asset Reconstruction Co. (India)	JM, IIFL	17-Sep-2026	732.97	139	139.00	0.0%	n.a.
Rentomojo	IIFL	17-Sep-2026	1,255.57	404	482.45	+19.4%	n.a.
Manipal Payment & Identity Solutions	IIFL	17-Sep-2026	805.00	339	330.00	-2.7%	n.a.
Kanohar Electricals	IIFL	16-Sep-2026	1,055.74	632	685.50	+8.5%	n.a.
Lumino Industries	JM	03-Sep-2026	700.00	82	110.00	+34.1%	+17.66%
Symbiotec Pharmalab	JM	01-Sep-2026	1,757.00	988	978.20	-1.0%	+19.03%
Augmont Enterprises	JM	31-Aug-2026	825.00	788	961.00	+22.0%	+34.80%

The two BRLM tables print different opening prices for Orient Cables (Rs 417 and Rs 450). **Read:** both are large, established mainboard managers; most recent issues opened at or above the issue price.

What would change our view

- **Towards Subscribe:** H1 FY27 revenue of Rs 180 cr or more; positive operating cash flow for H1 FY27; order book at or above Rs 400 cr at 30-Sep-2026; working capital back below 75% of revenue by March 2027. Any two of these would lift the Neutral fair value towards the price.
- **Towards Avoid:** a further deferral of the export order book, H1 FY27 revenue below Rs 120 cr, or a material governance development.
- **Price:** at a market price near Rs 515-560 the call on today's numbers would be Subscribe.

Risks

- Lumpy, tender-based revenue and the timing of export approvals (pp. 21-23).
- A few large customers in any year (p. 24).
- Imported infrared detectors and suppliers on purchase orders (p. 25).
- Working capital funded partly by short-term bank debt (p. 445).
- Share supply when lock-ins end at six and 18 months (p. 121).

Data gaps

Item	Severity	Where to source
Anchor allocation report (investor-wise list); names here are from press reports	Medium	NSE / BSE anchor filing

Item	Severity	Where to source
Customs notice of 23-Jul-2026: amount not stated	Low	Issuer
Peer share counts and net debt for EV/EBITDA	Low	Exchange filings
Current prices, revenue and PAT growth of the BRLMs' recent issues	Low	Exchange filings
Final offer price and lock-in table	Low	Prospectus

Appendix: diligence checks

#	Check	Status	Finding
1	Bonus issue and share count	PASS	19:1 bonus and split reflected in EPS and NAV (pp. 126, 139)
2	Cash flow vs PAT	WATCH	CFO negative in FY25-26 with export deferrals and stock built for FY27 orders; track H1 FY27 (pp. 23, 90)
3	Current vs deferred tax	PASS	Current tax 23.3% of cumulative PBT (p. 89)
4	Related-party dealings	WATCH	Disclosed IP purchase and material purchases from the former parent (pp. 94, 439)
5	Objects as price floor	N.A.	Pure OFS
7	Goodwill and intangibles	WATCH	No goodwill; purchased IP is 29.4% of net worth (p. 87)
8	Concentration	WATCH	Top-10 customers 77.83% (FY26), normal for defence (p. 24)
9	Contingent liabilities	WATCH	Bank guarantees Rs 78.93 cr (14.7% of net worth), performance-related (p. 92)
R1	Auditor	PASS	No change, no qualifications (pp. 100, 440)
R2	Audit trail	PASS	Operated throughout (p. 325)
R6	BRLM track record	PASS	Compiled above (pp. 466-468)

No check met the Fund's test for a material issue.

Verification

- **Restated P&L reproduces:** FY26 expenses sum to Rs 2,999.81 m (printed 2,999.80); PBT Rs 699.59 m; PAT Rs 508.81 m (printed 508.80) (p. 89).
- **EBITDA** reproduces the KPI table: PBT + finance cost + D&A - other income = Rs 1,046.19 m for FY26 (p. 144).

- **Balance sheet** balances: FY26 total assets Rs 7,824.98 m = equity Rs 5,531.59 m + liabilities Rs 2,293.39 m (pp. 87-88).
- **Cash flow:** FY26 operating, investing and financing (-632.16, -322.65, +321.90) sum to the -632.91 change in cash (p. 90).
- **Anchor size** is derived from NSE's shares-offered figure; investor names and the MF split are from press reports, unverified.
- **Merchant-banker figures** are as printed in the RHP (pp. 466-468); listing gains are our computation.
- **Workbooks:** the toolkit verification gate passed on this build.

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